

# Electricity Act, 1992

*Document type: act*

*Source: Nepal Law Commission / Ministry of Law, Justice and Parliamentary Affairs*

*Chunks merged: 10*

Electricity Act, 2049

Date of Royal Seal and Publication

2049.09.02

Amending Acts

1. Electricity Theft Control Act, 2058 2058.10.10
2. Income Tax Act, 2058 2058.12.19

Date of Authentication and Publication

3. Republic Strengthening and Some Nepal Laws Amendment Act, 2066 2066.10.07
4. Some Nepal Acts Amendment Act, 2072 2072.11.13
5. Electricity Regulatory Commission Act, 2074 2074.05.19
6. Some Nepal Acts Amendment Act, 2075 2075.11.19
7. Some Nepal Acts Amendment Act, 2082 2082.04.14

Act No. 41 of the year 2049

An Act Made to Develop and Manage Electric Power

Preamble: Whereas it is desirable to regulate the survey, generation, transmission or distribution of electricity, to develop electric power, and to make electricity service qualitative and safe,

Therefore, in the twenty-first year of the reign of His Majesty King Birendra Bir Bikram Shah Dev, Parliament has enacted this Act. 1. Short Title and Commencement: (1) This Act may be called the "Electricity Act, 2049".

(2) This Act shall commence on the date specified by the Government of Nepal by a notification published in the Nepal Gazette. 2. Definitions: Unless the subject or context otherwise requires, in this Act,-

(a) "Electricity" means electric power generated from water, mineral oil, coal, gas, solar energy, wind energy, nuclear energy or any other means.

(b) "Hydropower" means electric power generated from water.

(c) "License" means a license granted under this Act.

(d) "Consumer" means a person receiving electric power from a licensee.

(e) "Tariff" means the charge taken from a consumer for the provision of electricity service pursuant to this Act.

(f) "Licensee" means a person or incorporated body that has obtained a license pursuant to Section 4.

(g) "Inspector" means an Electricity Inspector appointed pursuant to Section 37, and that term shall also include the Chief Electricity Inspector.

(h) "Prescribed" or "as prescribed" means prescribed or as prescribed in the rules made under this Act. 3. Survey, Generation, Transmission or Distribution of Electricity: No person shall survey, generate, transmit or distribute electricity without obtaining a license under this Act. 4. Provision of License: (1) A person or incorporated body desiring to survey, generate, transmit or distribute electricity shall submit an application for a license to the prescribed authority, specifying the economic, technical and environmental study report on the relevant subject and the details as prescribed.

Provided that, while submitting an application for a survey license for electricity, it shall not be necessary to attach such a study report. (2) Upon receipt of an application under sub-section (1), the prescribed authority shall, after making or causing to be made necessary inquiries, grant a license to the applicant in the prescribed format within thirty days in the case of a survey license for electricity, and within one hundred twenty days in the case of a license for the generation, transmission or distribution of electricity. (3) A person or incorporated body already engaged in the generation, transmission or distribution of electricity before the commencement of this Act shall also, subject to the proviso to Section 3, submit an application for a license to the prescribed authority within one year from the date of commencement of this Act, together with prescribed details. (4) Upon receipt of an application under sub-section (3), the prescribed authority shall, after making necessary inquiries, grant a license in the prescribed format within sixty days from the date of application. (5) If a licensee needs to sell or otherwise transfer his license to any person, he shall obtain approval from the prescribed authority. 5. Duration of License: (1) The duration of a license granted for the survey of electricity shall be up to a maximum of five years. Added by Some Nepal Acts Amendment Act, 2082. Provided that if due to force majeure circumstances such as disaster, general strike or curfew, the survey work cannot be completed within that period, the duration of the license may be extended for a further period of up to two years based on necessity and justification, considering the period during which work could not be carried out due to such circumstances. (2) The duration of a license granted for the generation, transmission or distribution of electricity shall be up to a maximum of fifty years. (3) If a license is granted for a period shorter than the period specified in sub-section (1) or (2), it shall be renewed as prescribed before the expiry of the period specified in the license amended by Some Nepal Acts Amendment Act, 2075.. (4) If renewal is not obtained under sub-section (3), such license shall be automatically cancelled. 6.

Prohibition on Granting License: If a license has been granted under this Act to any person or incorporated body for the distribution of electricity in any area, no other person or incorporated body shall be granted a license for the distribution of electricity in the same area during the term of such license. Provided that if it appears that the licensee is unable to meet the demand for electricity in that area, a license may also be granted to any other person or incorporated body to distribute electricity in that area. 7. Matters to be Observed by Licensee: The matters to be observed by a licensee in relation to the survey, generation, transmission or distribution of electricity shall be as prescribed. 8. Cancellation of License: (1) If a licensee does any act contrary to this Act or the rules made under this Act, the prescribed authority may, specifying a time limit, order the concerned licensee to make necessary corrections in such act. (2) If the licensee fails to make necessary corrections within the time limit specified under sub-section (1), the prescribed authority may cancel the license obtained by such person. (3) Before cancelling a license under sub-section (2), the prescribed authority shall give the concerned licensee a reasonable opportunity to submit his defense. 9. Agreement May be Made with Licensee: The Government of Nepal may make an agreement with a licensee relating to the bulk purchase of electricity, guarantee of necessary capital to be invested, or other economic

and technical matters. 10.

Ownership of Government of Nepal: (1) Land, buildings, equipment and structures relating to an electricity generation station or transmission and distribution line established with foreign investment exceeding 50 percent of the total investment by a foreign person or incorporated body shall become the property of the Government of Nepal after the expiry of the term specified in the license. (2) Property that has come into the ownership of the Government of Nepal under sub-section (1) may be taken by the former licensee for the generation, transmission or distribution of electricity at a price determined under sub-section (3), and after so acquiring the property, he shall make an agreement with the Government of Nepal and generate, transmit or distribute electricity according to such agreement. (3) For the purpose of determining the price under sub-section (2), the Government of Nepal shall constitute a committee of at least five persons. (4) The operation and management of an electricity generation station or transmission and distribution line established with foreign investment up to 50 percent of the total investment by a foreign person or incorporated body, or without foreign investment, shall, after the expiry of the term specified in the license, be carried out by the former licensee by making an agreement with the Government of Nepal and according to such agreement. 11. Royalty to be Paid: (1) A licensee shall pay royalty to the Government of Nepal at the rate of one hundred rupees per installed kilowatt annually and two percent of the average selling price per unit (kilowatt hour) for fifteen years from the commencement of commercial generation of hydropower. (2) After the period referred to in sub-section (1), the licensee shall pay royalty to the Government of Nepal at the rate of one thousand rupees per installed kilowatt annually and ten percent of the average selling price per unit (kilowatt hour). 12. Omitted by Income Tax Act, 2058 and Other Tax, Fee Related Facilities: (1) Omitted by Income Tax Act, 2058. (2) Omitted by Income Tax Act, 2058. (3) Omitted by Income Tax Act, 2058. (4) Omitted by Income Tax Act, 2058. (5) Omitted by Income Tax Act, 2058. (6) Omitted by Income Tax Act, 2058. (7) If construction equipment, machinery tools, equipment required for operation and maintenance, and their spare parts necessary for the generation, transmission or distribution of hydropower produced and sold by local industries are imported, customs duty and sales tax shall be levied according to the prevailing rates.

In the case of goods not produced in Nepal, only one percent customs duty shall be levied, and import license fee, sales tax, etc. shall not be levied on such goods. 13. Foreign Exchange Facility: If foreign currency is invested in the form of loan or share capital for hydropower generation, transmission or distribution, the Government of Nepal shall make available the necessary foreign currency at the prevailing market exchange rate for the payment of principal or interest of the loan or for the repatriation of investment. 14. Facilities According to Prevailing Law: In addition to the facilities obtained under this Act, a licensee shall also be entitled to facilities according to the prevailing law, provided that there is no duplication. 15. Provision Relating to Accommodation and Bonus: Notwithstanding anything written in the prevailing law, the provision of accommodation and bonus for workers and employees engaged in the generation, transmission or distribution of electricity shall be as prescribed. 16. Electricity Tariff and Other Charges May be Levied: (1) The Government of Nepal or a licensee may levy a tariff and other charges determined in accordance with the prevailing federal law relating to the amended by Electricity Regulatory Commission Act, 2074. Electricity Regulatory Commission from the person to whom such service is provided, in return for providing electricity service.

(2) The electricity tariff and other charges under sub-section (1) shall be recovered as prescribed. 17. Repealed by Electricity Regulatory Commission Act, 2074. 18. Repealed by Electricity Regulatory Commission Act, 2074. 19. Electricity Service May be Disconnected: Electricity service may be disconnected in the following circumstances:-

- (a) If inspection, repair or any other important work of electricity-related equipment and lines has to be carried out,
  - (b) If a natural calamity such as flood, landslide, fire, earthquake or strike, lockout, riot or any other similar extraordinary circumstance beyond control arises,
  - (c) In the case of a consumer who fails to pay the tariff and other charges due from him,
  - (d) In the case of a consumer who uses electricity in an unauthorized manner or uses electricity service contrary to the conditions.
20. National Transmission Line or Grid: The Government of Nepal may, by a notification published in the Nepal Gazette, designate any transmission line or grid as a National Transmission Line or Grid. 21.

**Sale of Generated Electricity:** (1) If any person desires to sell in bulk electricity generated under this Act, the Government of Nepal may purchase or cause to be purchased such electricity so that it is integrated into the National Grid. (2) Amended by Some Nepal Acts Amendment Act, 2075. The purchase rate of electricity purchased under sub-section (1) shall be as determined by the Electricity Regulatory Commission. (3) While determining the purchase rate of electricity under sub-section (2), depreciation shall be calculated in such a manner that the total investment is recovered on average within twenty-five years. 22. **Import and Export of Electricity:** (1) If a licensee desires to import and distribute electricity within Nepal omitted by Republic Strengthening and Some Nepal Laws Amendment Act, 2066., he may import electricity with the prior approval of the Government of Nepal as prescribed. (2) If a licensee desires to export electricity generated by him to a foreign country, he may export it by making an agreement with the Government of Nepal in that regard. (3) A person exporting electricity under sub-section (2) shall pay export tax to the Government of Nepal as prescribed. 23. **Quality of Electricity to be Prescribed:** (1) The Government of Nepal may, by a notification published in the Nepal Gazette, prescribe the quality of electricity to be generated, transmitted or distributed under this Act. (2) While generating, transmitting or distributing electricity, the quality prescribed under sub-section (1) shall be maintained. 24. **No Significant Adverse Effect on Environment:** While generating, transmitting or distributing electricity, it shall be done in such a way that no significant adverse effect is caused to the environment by soil erosion, flood, landslide, air pollution, etc. 25. **Level of Voltage and Other Technical Matters:** (1) The level of voltage and other technical matters for the generation, transmission or distribution of electricity shall be as prescribed. (2) A person generating, transmitting or distributing electricity shall maintain the level prescribed under sub-section (1). 26. **Safety Measures:** The safety measures to be adopted in the course of generation, transmission or distribution of electricity shall be as prescribed. 27. **Maintenance:** If it becomes necessary to interrupt the supply of electricity for the maintenance of an electricity generation station, transmission or distribution line or any other structure, or for any other reason, the licensee shall give information thereof to the general public by a public notice at least twenty-four hours in advance.

Provided that, added by Republic Strengthening and Some Nepal Laws (Amendment) Act, 2066. if it becomes necessary to interrupt electricity supply for immediate repair or any other situation, it shall not be an obstacle to carry out such work after giving information thereof before doing such work. 28. **Special Circumstances:** (1) If due to any special circumstance it becomes necessary to stop the generation, transmission or distribution of electricity in any area, or if electricity service has to be immediately provided to any area, the Government of Nepal may give necessary orders to the concerned electricity generator, transmitter or distributor, and it shall be his duty to comply with such orders.

(2) The Government of Nepal shall bear any loss or damage incurred while complying with an order under

sub-section (1). 29. Not to be Nationalized: (1) Land, buildings, equipment and structures relating to the generation, transmission or distribution of electricity shall not be nationalized. Provided that land, buildings, equipment and structures relating to the generation, transmission or distribution of hydropower of 1000 kilowatts or less may be taken over by the Government of Nepal itself for extensive public use and developed. Explanation: "Extensive public use" means use that benefits a population greater than the population benefiting from the current use.

(2) The Government of Nepal shall pay compensation as prescribed to the concerned person for land, buildings, equipment and structures taken under the proviso to sub-section (1).

(3) Compensation to be given under sub-section (2) shall be determined on the basis of the current value of the land, buildings, equipment and structures taken by the Government of Nepal (deducting wear and tear and depreciation from ordinary use). 30. Hydropower Generation Station, etc. to be Purchased: In an area where a person or entity is generating up to one thousand kilowatts of hydropower and distributing it, if a licensee is to distribute electricity in that area, and if the person or entity so generating and distributing up to one thousand kilowatts of hydropower desires to sell the hydropower generation station, transmission and distribution line operated by him, the said licensee shall purchase such hydropower generation station, transmission and distribution line at a price determined by mutual agreement on the basis of the current value thereof (deducting wear and tear and depreciation from ordinary use). 31.

Protection of Electricity Structures: (1) For the protection of any electricity generation station, transformer station, substation, pond constructed for electricity generation, or any structure related to electricity, the Government of Nepal may, upon the request of the licensee or on its own initiative if it deems such protection necessary, make necessary arrangements. (2) If protection arrangements are made upon the request of a licensee under sub-section (1), the entire cost thereof shall be borne by the licensee. 32. Entry into Another's House or Land: In the course of surveying, generating, transmitting or distributing electricity, if the Government of Nepal or a licensee has to enter into any person's house or land, an employee deputed by the Government of Nepal or the licensee may enter such house or land only after giving prior notice to the concerned person. If any loss or damage is caused during such entry, the Government of Nepal or the licensee shall give compensation as prescribed. Provided that if there is a reasonable cause to suspect unauthorized use or theft of electricity in any house or land, such employee may enter the concerned house or land without prior notice for the purpose of inspecting that matter or preventing any accident. 33. Use or Acquisition of Another's House or Land: (1) If it is necessary to use or acquire another person's house or land for the generation, transmission or distribution of electricity, the licensee may submit an application to the Government of Nepal. (2) Upon receipt of an application under sub-section (1), the Government of Nepal may, after making necessary inquiries in that regard, cause the licensee to acquire such house or land in the same manner as land is acquired for an incorporated body under the prevailing law. If it is government land, it shall be provided on lease for the duration of the license. (3) If the Government of Nepal or a licensee has carried out any construction work relating to the generation, transmission or distribution of electricity, the Government of Nepal may prohibit any other person from using the place where such construction work has been carried out or the house or land falling within the prescribed distance around that place for any specific purpose. The Government of Nepal or the licensee shall give compensation as prescribed for the loss or damage caused to the concerned person by reason of such prohibition. 34. Government of Nepal May Generate and Develop Electricity: Nothing in this Act shall be deemed to prevent the Government of Nepal from itself generating or developing electricity. 35.

Government of Nepal May Generate, Transmit or Distribute Electricity by Contract: Notwithstanding anything

written elsewhere in this Act, the Government of Nepal may, by entering into a contract with any person or entity, generate, transmit or distribute electricity or cause it to be done on the basis of the terms mentioned in such contract. 36. Hydropower Development Unit: For developing and causing to develop hydropower, encouraging private sector entrepreneurs in hydropower development, and monitoring works related to hydropower development, there shall be a Hydropower Development Unit in the Ministry of Water Resources. 37. Appointment of Inspector: (1) For the inspection and supervision of the generation, transmission or distribution of electricity, the Government of Nepal may, as required, appoint a Chief Electricity Inspector and Electricity Inspectors. (2) The qualifications required for the Chief Electricity Inspector and Electricity Inspector shall be as prescribed. (3) Other functions, duties and powers of the Chief Electricity Inspector and Electricity Inspector shall be as prescribed. 38. Penalty: (1) If any person violates this Act or the rules made under this Act, the prescribed authority may fine him up to five thousand rupees. If any loss or damage has been caused to any person from such offense, the prescribed authority may also recover compensation for such loss or damage from him. (2) If any person generates, transmits or distributes electricity without obtaining a license as required under this Act, or without observing the conditions mentioned in the license, the prescribed authority may fine him up to amended by Some Nepal Acts Amendment Act, 2075. five hundred thousand rupees and cause such work to be stopped. (3) Omitted by Electricity Theft Control Act, 2075 (4) If any person malafide commits any act that adversely affects any electricity generation or transformer station, transmission line, distribution line or any other structure related thereto, or demolishes, damages or in any way harms the same, or abets any such act or thing, or attempts to do such act, the amount of loss or damage shall be recovered from him, and he may be punished with a fine equal to the amount of loss or damage, or imprisonment for up to ten years, or both. 39.

Appeal: A person aggrieved by the cancellation of a license by the prescribed authority under sub-section (2) of Section 8, or by the amount of compensation given under Section 29, 32 or 33, or by an order of punishment given by the prescribed authority under amended by Electricity Theft Control Act, 2075. sub-sections (1) and (2) of Section 38, may, within thirty-five days, file an appeal to the amended by Some Nepal Acts Amendment Act, 2072. High Court. 40. Power to Make Rules: (1) The Government of Nepal may make necessary rules for the implementation of the objectives of this Act. (2) Without prejudice to the generality of the power conferred by sub-section (1), the Government of Nepal may, in particular, make rules on the following matters:- (a) The format of the application for a license and the matters to be specified therein, the format, duration, conditions, fees or charges and other necessary matters of the license, (b) The level of voltage and the quality of electricity service to be distributed and other necessary technical matters, (c) Construction work of any structure related to electricity and its standards, (d) The standards of equipment and goods used in the generation, transmission or distribution of electricity and the methods of use, (e) The qualifications, functions, duties and powers of the Inspector, (f) Omitted by Some Nepal Acts Amendment Act, 2075 (g) Safety measures to be adopted during the generation, transmission and distribution of electricity, (h) Matters to be observed by consumers or customers, (i) Accidents and their investigation, (j) Other necessary matters.